

This declaration sounds reassuring, but it is far too indefinite to satisfy the analyst. The actual depreciation charges, as shown in the following record, disclose an unusually arbitrary and erratic policy.

Annual Charges by American Sugar Refining Company for Depreciation

Year	Charged to income	Charged to surplus
1916–1920	\$2,000,000	None
1921	None	None
1922–1923	1,000,000	None
1924	None	None
1925	1,000,000	None
1926	1,000,000	\$2,000,000
1927	1,000,000	1,000,000
1928	1,250,000	500,000
1929	1,000,000	500,000
1930	1,000,000	542,631
1931	1,000,000	None
1932	1,000,000	None

The additional charges to surplus made in the years 1926–1930, inclusive, appear to strengthen our contention that American Sugar's depreciation allowances have been both arbitrary and inadequate.

The American Car and Foundry's application, dated April 2, 1925, contains the following:

The Company has no depreciation account as such. However, its equivalent is found in the policy and the practice of the Company to maintain at all times its plants and properties in first class physical condition and in a high state of efficiency by repairing, renewing and replacing equipment and buildings as their physical conditions may require, and by replacing facilities with those of more modern type, when such action results in more economical production. This procedure amply covers depreciation and obsolescence and the cost is charged to Operating Expenses.

Here again a sceptical attitude on the part of the analyst is "amply" warranted. The same is true in respect of American Can which managed—inexplicably—to avoid all reference to its depreciation policy in its listing